Nifty 50 Diwali Drift: From a 26-Year Scan to One Final Position Book

Per-stock best side and window around Laxmi Pujan, what drives the result, how much of it survives out-of-sample, and the final 2026 position book with full performance

Builds on	The per-stock Diwali scan (build_diwali_christmas_perstock_reports_v4) re-run on the project 8×8 grid; supersedes the earlier 10×10 Diwali reports
Data	Daily prices of 213 NSE F&O stocks (Nifty 50 = 50), 26 Diwali events 2000–2025, Laxmi Pujan / Muhurat dates; Nifty futures history for the index check
Independent check	Per-year walk-forward, a 2000–2018 train / 2019–2025 test split, and the Nifty futures index (T-5 to T+4, 26 events) — none used to pick the stock windows
Final strategy	34 LONG futures positions on the project 8x8 grid, each at its own window (T-N to T+M, closes), entries 28-Oct-2026 to 06-Nov-2026, exits 09-Nov to 19-Nov-2026; Final B = the 11 STRONG names only
Headline	In-sample 15.0% a year on margin, max drawdown −19.4%, 85% positive cycles. Out-of-sample: 14.5% / −6.6% (train/test split) and 7.6% / −13.0% (walk-forward)
Costs	0.15% of contract value per round trip, applied in the ‘net’ rows; lot sizes are today's lots, values at today's prices
Prepared for	Management review
Date	27 October 2026

All figures are from a historical backtest on daily data, with entries and exits at the close of the stated trading day. Past results do not guarantee future returns. Windows were chosen on the same history they are scored on; read the out-of-sample rows, not only the in-sample ones.

1. Executive summary

This document follows the Diwali work end to end: a scan of every F&O stock over 128 side/window combinations (the project 8×8 grid), a look at **what drives** the result, an honest test of how much of it survives out-of-sample, and the final position book for Diwali 2026 (Laxmi Pujan, Sunday 8 November).

Step	What was done	What came out
1. Scan	213 stocks × 8 entry leads × 8 holds × 2 sides (project 8×8 grid), 26 Diwali events (2000–2025), per-stock best by win rate	Nifty 50: 45 of 47 stocks have LONG as the better side; avg best LONG win rate 77.7% vs best SHORT 53.6%
2. What drives it	Basket by year, entry/hold windows, Oct vs Nov Diwali, sectors, worst years	Equal-weight basket up in 20 of 26 years; the gain builds from about T-8 and runs to T+3..T+8; common-window down years: 2009, 2012, 2013, 2015, 2016, 2018; Final A was roughly flat in 2024 (+₹23,483)
3. Choose and check	Conviction rules, walk-forward, 2000–18 / 2019–25 split, Nifty futures index	34 tradeable LONG positions (11 STRONG). In-sample 79.4% win rate; walk-forward 61.8%; train/test split 76.2%
4. Final book	8×8 window check (no entry date has passed), 2026 entry/exit calendar	No re-pick needed (the earliest 8×8 entry is T-8 = 28-Oct); entries 28-Oct to 06-Nov, exits 09-Nov to 19-Nov

Headline results

Metric	Index futures T-5/T+4	Fixed T-3/T+3, all 50	Walk-forward, all 50 (pure OOS)	Final A (34, in-sample)	Final B (11 STRONG)
Capital (margin)	₹125,000	₹6,510,361	₹6,510,361	₹4,645,574	₹1,557,912
Cycles (years)	26	26	19	26	26
Trades	26	1,090	748	759	268
Avg annual return (simple)	3.0%	6.8%	5.6%	15.0%	19.8%
CAGR	2.8%	6.3%	5.0%	14.3%	18.8%
Max drawdown (% of capital)	−11.6%	−13.3%	−13.9%	−19.4%	−12.3%
Max drawdown (₹)	−₹14,506	−₹867,302	−₹904,510	−₹899,441	−₹191,703
Calmar (CAGR ÷ DD %)	0.24	0.48	0.36	0.74	1.53
Sharpe / Sortino (per cycle)	0.55 / 1.63	0.72 / 1.79	0.48 / 1.31	1.20 / 5.56	1.26 / 6.93
Recovery factor (net ÷ max DD)	6.6	13.2	7.6	20.1	41.9
Longest drawdown (cycles)	4	4	5	3	2
Win trades	84.6%	60.7%	56.3%	79.4%	81.3%
Positive cycles	85%	81%	58%	85%	88%
Profit factor (trades)	5.55	2.37	1.89	4.14	5.70
Avg win / avg loss (return)	+2.76% / −3.15%	+4.48% / −2.92%	+5.15% / −3.62%	+5.62% / −5.18%	+6.15% / −4.70%
Avg trade return	+1.85%	+1.57%	+1.32%	+3.40%	+4.13%
Payoff (avg win ÷ avg loss)	1.01	1.53	1.47	1.07	1.31
Best cycle / worst cycle	₹0.19 L / −₹0.08 L	₹20.20 L / −₹8.26 L	₹20.08 L / −₹7.37 L	₹19.84 L / −₹4.75 L	₹7.63 L / −₹1.92 L

Best / worst single trade	₹18,769 / −₹8,452	₹458,637 / −₹116,428	₹232,816 / −₹140,383	₹303,073 / −₹188,057	₹303,073 / −₹150,260

Each book is one portfolio on its own margin (20% of contract value, today's prices and lots; the index column is one Nifty futures lot on ₹1.25 L). One Diwali cycle a year, so 'annual return' is the average cycle return. Final A and Final B windows were chosen on the full 2000–2025 history, so their rows are in-sample; the walk-forward column is not.

Recommendation: use Final A as the position book, but plan on the out-of-sample numbers, not the in-sample ones. In-sample Final A shows 15.0% a year with a max drawdown of −19.4%. Re-choosing every window on 2000–2018 only and scoring 2019–2025 gives 14.5% a year and −6.6% drawdown on the same 34 stocks (win rate 76.2%); a strict year-by-year walk-forward is weaker still (7.6%, 61.8% win rate). Final B (11 STRONG names) looks best in-sample (19.8% / −12.3%) but the STRONG label itself uses a walk-forward filter, so part of that edge is selection, not proof.

2. Data and how the backtest works

Item	Setting
Prices	Daily Adj Close (returns, so splits and dividends do not distort) from Stock_Data_213; raw Close shown in the example ledgers
Event date T	Laxmi Pujan / Muhurat date, 2000–2025 (hand-corrected: the holiday CSV was off by 1–3 days in several early years); 2026 = Sunday 08-Nov-2026
Trading calendar	A day counts only if at least 30% of listed stocks traded volume that day (removes placeholder rows on holidays); the Muhurat session itself is not counted
Entry / exit	Entry at the close of trading day T-N; exit at the close of trading day T+M (daily data, no intraday timing). T-1 is the last session before Laxmi Pujan, T+1 the first after it
Window grid	PROJECT 8×8 GRID: N = 1..8 trading days before, M = 1..8 days after, LONG and SHORT (128 combinations per stock)
Selection	Highest win rate over the stock\'s valid years; ties broken by average signed return; needs at least 7 valid event years
Guards	A window is dropped for a year if any daily move exceeds ±35%, or the window spans more than 40 calendar days, or no session falls within 7 days of T
Position size	One futures lot per stock at today\'s lot size; contract value = lot × latest close; same ₹ weight for every year (so years are comparable)
Margin / capital	20% of contract value summed over the book (Final A ₹46.46 L, Final B ₹15.58 L); fixed, no compounding
Costs	0.15% of contract value per round trip, shown in the ‘net’ rows (assumption; not taken from broker data)
Universe	The 50 current Nifty stocks with data; 3 (ETERNAL, JIOFIN, MAXHEALTH) have too little history for a backtested call

2.1 The trade mechanics

- **Buy before:** buy the stock future at the close of the N-th trading day before Laxmi Pujan.
- **Hold through:** carry the position over the Muhurat session and the closed days.
- **Sell after:** sell at the close of the M-th trading day after it. Return = (P_{exit} / P_{entry} − 1) × direction; all current positions are LONG.
- There is no stop-loss inside the backtest. The −3.5% spot stop in the playbook is a risk control suggested for live trading and is not in the numbers.

2.2 One trade, day by day (illustration)

ITC in Diwali 2025, window T-8 to T+8:

Date	Day	Close ₹	vs entry	Action
09-Oct-2025	T-8	399.9	+0.00%	**BUY at close (entry)**
10-Oct-2025	T-7	402.8	+0.73%	
13-Oct-2025	T-6	399.2	−0.16%	
14-Oct-2025	T-5	396.8	−0.78%	
15-Oct-2025	T-4	399.9	+0.00%	
16-Oct-2025	T-3	405.1	+1.31%	
17-Oct-2025	T-2	412.1	+3.06%	
20-Oct-2025	T-1	413.0	+3.29%	
21-Oct-2025	Laxmi Pujan / Muhurat (T)	holiday session, not counted as a trading day		
23-Oct-2025	T+1	416.0	+4.01%	
24-Oct-2025	T+2	416.8	+4.23%	
27-Oct-2025	T+3	420.6	+5.19%	
28-Oct-2025	T+4	417.9	+4.50%	
29-Oct-2025	T+5	421.6	+5.43%	

30-Oct-2025	T+6	418.8	+4.71%	
31-Oct-2025	T+7	420.4	+5.11%	
03-Nov-2025	T+8	414.0	+3.51%	**SELL at close (exit)**

Return +3.51% on the stock; at one lot (1,725 shares, contract value ₹455,227) that is +₹15,994 before costs.

3. Step 1: the per-stock scan

Rule	Values tested	Count
Stocks	F&O stocks with price data	213
Entry lead N	1 to 8 trading days before T	8
Hold M	1 to 8 trading days after T	8
Side	LONG / SHORT	2
Stock-windows scored	213 × 8 × 8 × 2	27,264
Years per window	2000 to 2025, minimum 7 valid	≤ 26
Out-of-sample check	Pick redone each year from earlier years only (walk-forward)	19 picks / stock

3.1 What the scan produced for the Nifty 50

Conviction	Stocks	Avg in-sample win rate	Avg walk-forward win rate	Final-window win rate (26 yrs)	Avg trade return
STRONG	11	81.5%	69.1%	81.3%	+4.13%
MODERATE	23	80.2%	60.6%	78.4%	+3.00%

STRONG = at least 10 years, win rate ≥ 75%, positive average, walk-forward win rate ≥ 60%. MODERATE = win rate ≥ 65%, positive average, walk-forward ≥ 50% (or too few walk-forward trades). The other 13 Nifty stocks are NO TRADE and 3 are data-insufficient; they are not in the book.

3.2 The simplest version: one window for everyone (T-3 to T+3), year by year

Year	Laxmi Pujan	Nifty-50 basket return	Stocks up	Year	Laxmi Pujan	Nifty-50 basket return	Stocks up
2000	26-Oct-2000	+3.15%	30%	2013	03-Nov-2013	−0.24%	42%
2001	14-Nov-2001	+5.89%	28%	2014	23-Oct-2014	+3.38%	72%
2002	04-Nov-2002	+1.51%	44%	2015	11-Nov-2015	−1.04%	30%
2003	25-Oct-2003	+1.70%	38%	2016	30-Oct-2016	−1.86%	34%
2004	12-Nov-2004	+3.46%	60%	2017	19-Oct-2017	+0.90%	38%
2005	01-Nov-2005	+7.65%	74%	2018	07-Nov-2018	−0.08%	52%
2006	21-Oct-2006	+1.59%	36%	2019	27-Oct-2019	+2.61%	66%
2007	09-Nov-2007	+1.24%	44%	2020	14-Nov-2020	+2.34%	62%
2008	28-Oct-2008	+2.36%	40%	2021	04-Nov-2021	+2.18%	66%
2009	17-Oct-2009	−3.04%	18%	2022	24-Oct-2022	+2.24%	78%
2010	05-Nov-2010	+2.72%	70%	2023	12-Nov-2023	+2.36%	84%
2011	26-Oct-2011	+4.19%	78%	2024	01-Nov-2024	+0.84%	52%
2012	13-Nov-2012	−2.48%	16%	2025	21-Oct-2025	+1.30%	72%

Equal-weight average of the Nifty 50 stocks that had data that year, LONG, entry at the close of T-3, exit at the close of T+3.

3.3 What this step showed

- The basket was up in **20 of 26 years** with one common window. The down years were 2009, 2012, 2013, 2015, 2016, 2018.
- Individual stocks differ a lot: a stock's own best window wins far more often in-sample than the common window (79.4% vs 60.7% of trades) — but part of that is the search itself, which is why step 3 exists.
- All trades in one year share the same market backdrop, so the 759 trades of Final A are really **26 observations** of the market, not 759.

4. Step 2: what drives the result

4.1 LONG versus SHORT

For each stock the best LONG window was compared with its best SHORT window on the 8×8 grid (≥ 7 valid years). **Nifty 50: LONG is better for 45 of 47 stocks**, SHORT for 1, with 1 exact tie (ties default to LONG in the scan). Across the 135 tested non-Nifty F&O stocks LONG is better for 128, SHORT for 1, and 6 are ties (see Diwali_Positions_8x8_Nifty_FO.xlsx). Average best-window win rate on the Nifty: LONG 77.7% vs SHORT 53.6%. Part of the LONG bias is general upward drift in prices; part is Diwali.

4.2 Which windows work: the 8 × 8 grid for the Nifty-50 basket (all years)

Avg LONG return % (Nifty 50 basket)

	T+1	T+2	T+3	T+4	T+5	T+6	T+7	T+8
T-1	0.9	1.4	1.9	2.1	2.5	2.7	2.6	2.8
T-2	1.2	1.7	2.1	2.4	2.7	3.0	2.9	3.0
T-3	0.8	1.3	1.7	2.0	2.3	2.6	2.5	2.6
T-4	0.8	1.3	1.7	1.9	2.3	2.6	2.5	2.6
T-5	1.1	1.5	1.9	2.2	2.5	2.8	2.7	2.8
T-6	1.3	1.7	2.1	2.4	2.7	3.0	2.9	3.0
T-7	1.4	1.8	2.2	2.5	2.8	3.1	3.0	3.1
T-8	1.6	2.1	2.5	2.7	3.1	3.4	3.3	3.4

Basket win rate % (years the basket was up)

	T+1	T+2	T+3	T+4	T+5	T+6	T+7	T+8
T-1	77	65	81	77	73	73	73	69
T-2	73	65	81	81	73	73	73	69
T-3	69	69	77	77	73	73	69	69
T-4	69	69	81	81	69	73	69	65
T-5	73	73	77	81	85	81	77	73
T-6	73	73	77	77	81	77	73	77
T-7	73	73	77	81	77	73	69	81
T-8	77	73	77	77	81	77	73	73

Rows = entry N days before T, columns = exit M days after T. Left: average LONG return of the equal-weight basket. Right: share of the 26 years in which the basket was up.

On the 8×8 grid the basket's average return is positive in 64 of 64 windows and the up-year share is at least 60% in 64 of 64. Entering 5–8 days before and leaving 3–8 days after averages +2.75%, against +2.25% for entering only 1–2 days before; the profitable zone is wide, so the result does not hinge on one exact window.

4.3 Entry timing and holding length (Final A trades, 2000–2025)

Entry timing	Trades	Win rate	Avg return	Net P&L	Cycles positive
Early entry (T-6 to T-8)	267	79.0%	+4.13%	+₹8,294,581	92%
Mid entry (T-3 to T-5)	331	80.7%	+3.14%	+₹6,889,338	88%
Late entry (T-1 to T-2)	161	77.6%	+2.71%	+₹2,930,696	73%

Holding length	Trades	Win rate	Avg return	Net P&L	Cycles positive
Short hold (T+1 to T+3)	279	78.5%	+2.99%	+₹6,440,709	77%
Medium hold (T+4 to T+6)	352	80.1%	+3.63%	+₹8,755,548	88%
Long hold (T+7 to T+8)	128	79.7%	+3.63%	+₹2,918,358	73%

4.4 Diwali in October versus November

Diwali date	Years	Final A win rate	Final A avg return	Cycles positive	Fixed-window basket avg
Diwali in October	12	80.3%	+3.28%	83%	+1.54%
Diwali in November	14	78.7%	+3.50%	86%	+1.88%

Diwali moves between mid-October and mid-November, so the window sits in different parts of the market calendar.

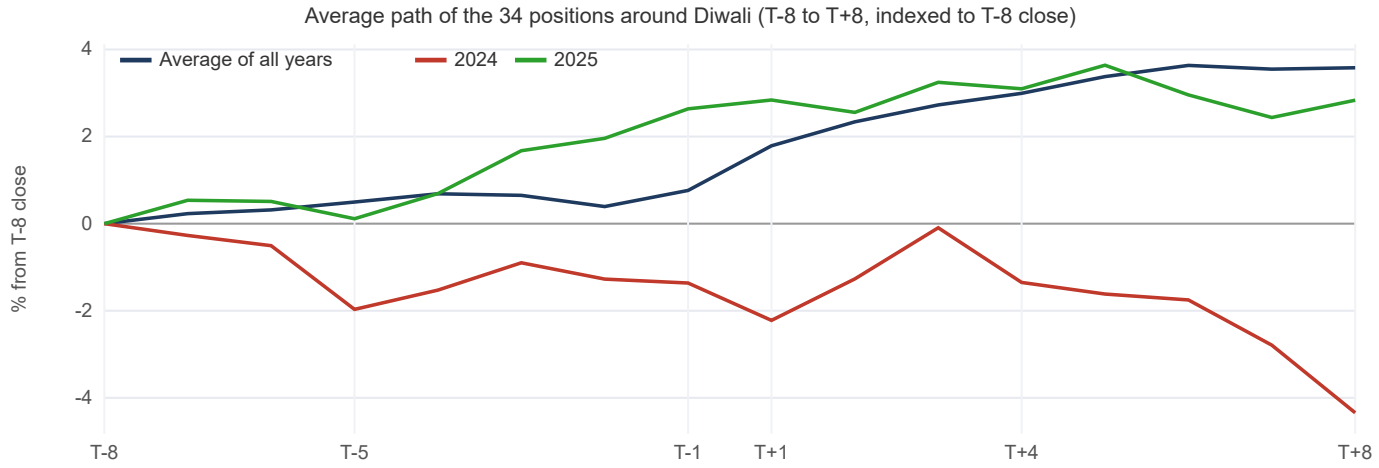
4.5 By sector (Final A)

Sector	Stocks	Names	Win rate	Avg return	Avg walk-forward win rate
Banking & Financials	6	AXISBANK, HDFCLIFE, ICICIBANK, KOTAKBANK, SBILIFE…	80.2%	+3.44%	64.4%
Metals & Mining	4	ADANIENT, COALINDIA, HINDALCO, JSWSTEEL	78.4%	+3.94%	60.0%
Healthcare & Pharma	4	APOLLOHOSP, CIPLA, DRREDDY, SUNPHARMA	74.5%	+2.18%	59.4%
Automobile & Auto Components	4	BAJAJ-AUTO, EICHERMOT, M&M, MARUTI	80.8%	+3.92%	62.2%
Other / Diversified	3	BEL, INDIGO, TRENT	79.3%	+2.79%	53.9%
Information Technology	3	HCLTECH, INFY, TECHM	81.4%	+3.89%	65.1%
Oil, Gas & Energy	3	NTPC, POWERGRID, RELIANCE	79.1%	+2.58%	61.4%
Cement & Construction	2	GRASIM, LT	77.1%	+3.74%	64.7%
FMCG & Consumption	2	ITC, TATACONSUM	84.6%	+2.30%	68.4%
Telecom & Logistics	1	BHARTIARTL	75.0%	+2.46%	64.7%
Capital Markets & Exchanges	1	BSE	100.0%	+9.88%	100.0%
Consumer Durables & Retail	1	TITAN	80.8%	+6.43%	68.4%

4.6 The six weakest years for the common window

Year	Laxmi Pujan	Fixed-window basket	Stocks up	Final A avg trade	Final A P&L
2009	17-Oct-2009	−3.04%	18%	−0.12%	−₹50,398
2012	13-Nov-2012	−2.48%	16%	−0.09%	−₹9,715
2016	30-Oct-2016	−1.86%	34%	−2.20%	−₹475,349
2015	11-Nov-2015	−1.04%	30%	−1.90%	−₹424,092
2013	03-Nov-2013	−0.24%	42%	+1.38%	+₹384,438
2018	07-Nov-2018	−0.08%	52%	+3.73%	+₹972,418

4.7 Average path around Diwali



Equal-weight average of the Final A names, indexed to the T-8 close. The gap between T-1 and T+1 is the Muhurat/holiday.

4.8 Conclusions that went into the final design

- **Direction:** LONG only; no SHORT passed the evidence bar.
- **Entry:** early entries (T-6 to T-8) average +4.13% per trade against +2.71% for late entries (T-1 to T-2); see table 4.3.
- **Per-stock windows** beat one common window in-sample, but only a part of the gain is real — hence the conviction filter.

- **One event a year:** size the book as a single yearly bet; a bad cycle hits every position together.

5. Step 3: choosing the windows and checking them

5.1 How the book was chosen (protection against curve-fitting)

- **Minimum history:** a stock needs ≥ 7 valid Diwali years in the chosen window; three Nifty stocks failed this and are left out of the main book.
- **Walk-forward:** for each year from 2007, the best window is re-picked using only earlier years and traded in that year. This is shown next to every in-sample pick.
- **Conviction gate:** only STRONG and MODERATE stocks are in the book. NO TRADE stocks (best in-sample win rate but walk-forward below the bar) are excluded.
- **Grid:** the project's 8×8 grid (N, M = 1..8) is used for every stock, so the earliest 2026 entry is T-8 = 28-Oct and no re-pick for passed entries is needed.
- **Honest limit:** 128 combinations are scanned per stock, so the best in-sample win rate is optimistic by construction.

5.2 The STRONG positions

#	Stock	Company	Window	Win rate (26y)	Avg return	Walk-forward (trades)	Conviction
1	ITC	ITC Ltd	T-8 to T+8	88.5%	+3.15%	78.9% (19)	STRONG
2	NTPC	NTPC Ltd	T-2 to T+6	86.4%	+2.70%	73.3% (15)	STRONG
3	TECHM	Tech Mahindra Ltd	T-2 to T+6	85.0%	+5.27%	84.6% (13)	STRONG
4	LT	Larsen & Toubro Ltd	T-7 to T+4	83.3%	+4.76%	70.6% (17)	STRONG
5	MARUTI	Maruti Suzuki India Ltd	T-5 to T+3	82.6%	+2.45%	68.8% (16)	STRONG
6	EICHERMOT	Eicher Motors Ltd	T-6 to T+7	80.8%	+6.74%	63.2% (19)	STRONG
7	HINDALCO	Hindalco Industries Ltd	T-4 to T+5	80.8%	+4.25%	63.2% (19)	STRONG
8	TITAN	Titan Company Ltd	T-8 to T+3	80.8%	+6.43%	68.4% (19)	STRONG
9	DRREDDY	Dr Reddys Laboratories Ltd	T-4 to T+7	76.9%	+2.18%	63.2% (19)	STRONG
10	KOTAKBANK	Kotak Mahindra Bank Ltd	T-3 to T+6	76.0%	+4.82%	61.1% (18)	STRONG
11	BHARTIARTL	Bharti Airtel Ltd	T-5 to T+2	75.0%	+2.46%	64.7% (17)	STRONG

5.3 Nifty stocks excluded by the conviction gate

Stock	Best side	Window	Win rate (26y)	Walk-forward	Why not in the book
ADANIPORTS	LONG	T-5 to T+1	77.8%	27.3%	walk-forward / conviction below the bar
ASIANPAINT	LONG	T-7 to T+5	66.7%	35.3%	walk-forward / conviction below the bar
BAJAJFINSV	LONG	T-1 to T+8	66.7%	41.2%	walk-forward / conviction below the bar
BAJFINANCE	LONG	T-8 to T+1	66.7%	41.2%	walk-forward / conviction below the bar
HDFCBANK	LONG	T-7 to T+5	76.9%	47.4%	walk-forward / conviction below the bar
HINDUNILVR	SHORT	T-3 to T+3	69.2%	47.4%	walk-forward / conviction below the bar
NESTLEIND	LONG	T-6 to T+5	54.2%	52.9%	walk-forward / conviction below the bar
ONGC	LONG	T-8 to T+8	69.2%	42.1%	walk-forward / conviction below the bar

SBIN	LONG	T-7 to T+3	80.8%	47.4%	walk-forward / conviction below the bar
TATASTEEL	LONG	T-3 to T+4	80.8%	47.4%	walk-forward / conviction below the bar
TCS	LONG	T-7 to T+6	66.7%	41.2%	walk-forward / conviction below the bar
TMPV	LONG	T-3 to T+8	72.0%	47.1%	walk-forward / conviction below the bar
ULTRACEMCO	LONG	T-8 to T+5	66.7%	41.2%	walk-forward / conviction below the bar

NO TRADE = the best in-sample window fails the conviction gate (win rate ≥ 65%, positive average, walk-forward ≥ 50%). Data-insufficient stocks (fewer than 7 valid Diwali years) are in section 7.2.

5.4 Approaches compared on the same 26 years

Approach	Role	Win rate	Avg trade return	Cycles	Positive cycles	Avg annual	Max DD
Index futures T-5 to T+4	Independent index check	84.6%	+1.85%	26	85%	—	—
Fixed T-3 to T+3, all 50	No stock selection	60.7%	+1.57%	26	81%	6.8%	−13.3%
Per-stock best, all 34 (Final A)	In-sample	79.4%	+3.40%	26	85%	15.0%	−19.4%
Same 34, picked on 2000–18, scored 2019–25	Out-of-sample	76.2%	+3.24%	7	86%	14.5%	−6.6%
All 50, picked on 2000–18, scored 2019–25	Out-of-sample, no stock filter	68.7%	+2.81%	7	86%	12.5%	−7.8%
Walk-forward each year, same 34	Out-of-sample (2007–25)	61.8%	+1.81%	19	58%	7.6%	−13.0%
Walk-forward each year, all 50	Out-of-sample, no stock filter	56.3%	+1.32%	19	58%	5.6%	−13.9%

‘Same 34’ rows carry a mild look-ahead: which 34 stocks are in the book was decided with knowledge of the full history. The ‘all 50’ rows have no such filter. The 2019–25 window is only 7 cycles.

6. Final Strategy A: the 34-stock Diwali book

Buy the stock future of each of the 34 names at the close of its entry day (T-N) and sell it at the close of T+M. All positions LONG, one lot each, entries from 28-Oct-2026 to 06-Nov-2026, exits from 09-Nov to 19-Nov-2026. Laxmi Pujan / Muhurat is Sunday 08-Nov-2026; 10-Nov (Balipratipada) is a market holiday. Planned margin ≈ ₹46.46 L (20% of contract value).

6.1 Daily checklist

When	Check / action	If not met
Before 28-Oct	Confirm the Laxmi Pujan date (08-Nov) and the NSE holiday list (10-Nov closed)	Recompute T-N / T+M dates
Entry day close	Buy the future of every stock whose T-N date is today (table 6.3)	Skip that stock; do not chase next day
Each day	Check margin (20% of contract value) and the cumulative book P&L	—
Exit day close	Sell the future of every stock whose T+M date is today	Exit by the next close at the latest
Risk	Optional −3.5% spot stop per position (not part of the backtest)	—

6.2 Why each rule is there

Rule	Reason (from the analysis above)
LONG only	LONG beats SHORT in 45 of 47 Nifty stocks; ties are not signals
Per-stock window	Each stock\'s own best window beat the common window in-sample; the conviction gate removes the fragile ones
Walk-forward gate	Stocks whose in-sample win rate collapses out-of-sample are NO TRADE
34 names, one lot each	Diversifies stock-specific noise; the market-wide Diwali factor is still one bet
8×8 grid	Entry no earlier than T-8 (28-Oct-2026), so no entry date has passed

6.3 The 2026 position calendar

Stock	Side	Window	Entry (close)	Exit (close)	Win rate (26y)	Walk-forward	Conviction	Lot	Margin 20%
APOLLOHOSP	LONG	T-8 to T+3	28-Oct (Wed)	12-Nov (Thu)	75.0%	58.8%	MODERATE	125	₹197,238
AXISBANK	LONG	T-8 to T+2	28-Oct (Wed)	11-Nov (Wed)	73.1%	57.9%	MODERATE	625	₹161,000
BAJAJ-AUTO	LONG	T-8 to T+3	28-Oct (Wed)	12-Nov (Thu)	75.0%	58.8%	MODERATE	75	₹155,775
BSE	LONG	T-8 to T+5	28-Oct (Wed)	16-Nov (Mon)	100.0%	100.0%	MODERATE	200	₹137,120
ICICIBANK	LONG	T-8 to T+3	28-Oct (Wed)	12-Nov (Thu)	79.2%	58.8%	MODERATE	700	₹194,516
ITC	LONG	T-8 to T+8	28-Oct (Wed)	19-Nov (Thu)	88.5%	78.9%	STRONG	1,725	₹91,046
TITAN	LONG	T-8 to T+3	28-Oct (Wed)	12-Nov (Thu)	80.8%	68.4%	STRONG	175	₹155,953
TRENT	LONG	T-8 to T+2	28-Oct (Wed)	11-Nov (Wed)	75.0%	52.9%	MODERATE	225	₹132,736
INDIGO	LONG	T-7 to T+1	29-Oct (Thu)	09-Nov (Mon)	80.0%	50.0%	MODERATE	150	₹141,555
LT	LONG	T-7 to T+4	29-Oct (Thu)	13-Nov (Fri)	83.3%	70.6%	STRONG	175	₹127,120
ADANIENT	LONG	T-6 to T+5	30-Oct (Fri)	16-Nov (Mon)	70.8%	58.8%	MODERATE	309	₹166,860
EICHERMOT	LONG	T-6 to T+7	30-Oct (Fri)	18-Nov (Wed)	80.8%	63.2%	STRONG	100	₹144,500
BEL	LONG	T-5 to T+4	02-Nov (Mon)	13-Nov (Fri)	83.3%	58.8%	MODERATE	1,425	₹108,414
BHARTIARTL	LONG	T-5 to T+2	02-Nov (Mon)	11-Nov (Wed)	75.0%	64.7%	STRONG	475	₹176,130
HDFCLIFE	LONG	T-5 to T+4	02-Nov (Mon)	13-Nov (Fri)	100.0%	100.0%	MODERATE	1,100	₹121,121
JSWSTEEL	LONG	T-5 to T+5	02-Nov (Mon)	16-Nov (Mon)	73.9%	62.5%	MODERATE	675	₹162,054
M&M	LONG	T-5 to T+6	02-Nov (Mon)	17-Nov (Tue)	84.6%	57.9%	MODERATE	200	₹114,468
MARUTI	LONG	T-5 to T+3	02-Nov (Mon)	12-Nov (Thu)	82.6%	68.8%	STRONG	50	₹114,450

SBILIFE	LONG	T-5 to T+2	02-Nov (Mon)	11-Nov (Wed)	88.9%	50.0%	MODERATE	375	₹124,635
SHRIRAMFIN	LONG	T-5 to T+2	02-Nov (Mon)	11-Nov (Wed)	83.3%	58.8%	MODERATE	825	₹155,727
TATACONSUM	LONG	T-5 to T+6	02-Nov (Mon)	17-Nov (Tue)	80.8%	57.9%	MODERATE	550	₹108,669
COALINDIA	LONG	T-4 to T+1	03-Nov (Tue)	09-Nov (Mon)	93.3%	55.6%	MODERATE	1,350	₹112,860
DRREDDY	LONG	T-4 to T+7	03-Nov (Tue)	18-Nov (Wed)	76.9%	63.2%	STRONG	625	₹152,000
HINDALCO	LONG	T-4 to T+5	03-Nov (Tue)	16-Nov (Mon)	80.8%	63.2%	STRONG	700	₹125,139
INFY	LONG	T-4 to T+8	03-Nov (Tue)	19-Nov (Thu)	80.8%	57.9%	MODERATE	400	₹88,800
KOTAKBANK	LONG	T-3 to T+6	04-Nov (Wed)	17-Nov (Tue)	76.0%	61.1%	STRONG	2,000	₹179,180
RELIANCE	LONG	T-3 to T+3	04-Nov (Wed)	12-Nov (Thu)	73.1%	52.6%	MODERATE	500	₹121,500
GRASIM	LONG	T-2 to T+7	05-Nov (Thu)	18-Nov (Wed)	70.8%	58.8%	MODERATE	250	₹143,650
HCLTECH	LONG	T-2 to T+6	05-Nov (Thu)	17-Nov (Tue)	79.2%	52.9%	MODERATE	400	₹108,800
NTPC	LONG	T-2 to T+6	05-Nov (Thu)	17-Nov (Tue)	86.4%	73.3%	STRONG	1,500	₹94,395
POWERGRID	LONG	T-2 to T+6	05-Nov (Thu)	17-Nov (Tue)	78.9%	58.3%	MODERATE	1,900	₹94,943
TECHM	LONG	T-2 to T+6	05-Nov (Thu)	17-Nov (Tue)	85.0%	84.6%	STRONG	600	₹198,000
CIPLA	LONG	T-1 to T+6	06-Nov (Fri)	17-Nov (Tue)	73.1%	57.9%	MODERATE	425	₹111,741
SUNPHARMA	LONG	T-1 to T+6	06-Nov (Fri)	17-Nov (Tue)	73.1%	57.9%	MODERATE	350	₹123,480

6.4 Real example: Diwali 2025 (Laxmi Pujan 21-Oct-2025)

All 34 positions at their windows, ranked by P&L (return is price return on the stock; P&L = return × today's one-lot contract value). Cycle result: **31 wins / 3 losses, +₹555,812**.

Symbol	Dir	Window	Entry	Entry ₹	Exit	Exit ₹	Return	Result	P&L / lot
HINDALCO	LONG	T-4 to T+5	15-Oct	764.2	29-Oct	856.2	+12.04%	WIN	+₹75,321
AXISBANK	LONG	T-8 to T+2	09-Oct	1167.4	24-Oct	1241.9	+6.38%	WIN	+₹51,373
SHRIRAMFIN	LONG	T-5 to T+2	14-Oct	674.5	24-Oct	715.5	+6.08%	WIN	+₹47,333
JSWSTEEL	LONG	T-5 to T+5	14-Oct	1147.8	29-Oct	1207.9	+5.24%	WIN	+₹42,427
TITAN	LONG	T-8 to T+3	09-Oct	3550.6	27-Oct	3739.8	+5.33%	WIN	+₹41,551
BHARTIARTL	LONG	T-5 to T+2	14-Oct	1946.6	24-Oct	2029.3	+4.25%	WIN	+₹37,414
RELIANCE	LONG	T-3 to T+3	16-Oct	1398.3	27-Oct	1484.1	+6.14%	WIN	+₹37,276
BSE	LONG	T-8 to T+5	09-Oct	2330.2	29-Oct	2447.3	+5.03%	WIN	+₹34,454
LT	LONG	T-7 to T+4	10-Oct	3784.0	28-Oct	3972.8	+4.99%	WIN	+₹31,713
TATACONSUM	LONG	T-5 to T+6	14-Oct	1118.9	30-Oct	1176.6	+5.16%	WIN	+₹28,019
BAJAJ-AUTO	LONG	T-8 to T+3	09-Oct	8810.0	27-Oct	9095.5	+3.24%	WIN	+₹25,240
HCLTECH	LONG	T-2 to T+6	17-Oct	1486.2	30-Oct	1549.8	+4.28%	WIN	+₹23,280
APOLLOHOSP	LONG	T-8 to T+3	09-Oct	7695.0	27-Oct	7845.5	+1.96%	WIN	+₹19,288
TRENT	LONG	T-8 to T+2	09-Oct	4660.9	24-Oct	4789.6	+2.76%	WIN	+₹18,326
ITC	LONG	T-8 to T+8	09-Oct	399.9	03-Nov	414.0	+3.51%	WIN	+₹15,994
BEL	LONG	T-5 to T+4	14-Oct	402.4	28-Oct	413.5	+2.77%	WIN	+₹15,020
GRASIM	LONG	T-2 to T+7	17-Oct	2836.2	31-Oct	2891.7	+1.96%	WIN	+₹14,055
COALINDIA	LONG	T-4 to T+1	15-Oct	384.2	23-Oct	392.6	+2.19%	WIN	+₹12,336
INFY	LONG	T-4 to T+8	15-Oct	1474.4	03-Nov	1485.5	+2.30%	WIN	+₹10,191
EICHERMOT	LONG	T-6 to T+7	13-Oct	6912.0	31-Oct	7007.0	+1.37%	WIN	+₹9,930
SBILIFE	LONG	T-5 to T+2	14-Oct	1816.2	24-Oct	1839.8	+1.30%	WIN	+₹8,098
M&M	LONG	T-5 to T+6	14-Oct	3459.8	30-Oct	3502.1	+1.22%	WIN	+₹6,998
INDIGO	LONG	T-7 to T+1	10-Oct	5735.0	23-Oct	5789.0	+0.94%	WIN	+₹6,664
NTPC	LONG	T-2 to T+6	17-Oct	341.0	30-Oct	345.1	+1.22%	WIN	+₹5,744
SUNPHARMA	LONG	T-1 to T+6	20-Oct	1688.6	30-Oct	1703.4	+0.88%	WIN	+₹5,411
MARUTI	LONG	T-5 to T+3	14-Oct	16261.0	27-Oct	16388.0	+0.78%	WIN	+₹4,469
ADANIENT	LONG	T-6 to T+5	13-Oct	2527.4	29-Oct	2537.4	+0.40%	WIN	+₹3,301
POWERGRID	LONG	T-2 to T+6	17-Oct	289.8	30-Oct	291.5	+0.60%	WIN	+₹2,867
HDFCLIFE	LONG	T-5 to T+4	14-Oct	743.5	28-Oct	747.0	+0.46%	WIN	+₹2,810
ICICIBANK	LONG	T-8 to T+3	09-Oct	1376.2	27-Oct	1377.6	+0.10%	WIN	+₹989
TECHM	LONG	T-2 to T+6	17-Oct	1447.6	30-Oct	1433.8	+0.08%	WIN	+₹829
DRREDDY	LONG	T-4 to T+7	15-Oct	1232.4	31-Oct	1197.6	−2.82%	LOSS	−₹21,461
KOTAKBANK	LONG	T-3 to T+6	16-Oct	441.1	30-Oct	427.4	−3.09%	LOSS	−₹27,705
CIPLA	LONG	T-1 to T+6	20-Oct	1639.1	30-Oct	1540.1	−6.04%	LOSS	−₹33,745

6.5 Real example: Diwali 2024, the bad cycle (Laxmi Pujan 01-Nov-2024)

The same book in the one recent year it did not work well: **19 wins / 15 losses, +₹23,483**, an average trade of +0.16%. A weak year is not protected: the book gave back almost all of its edge. Stock-level detail:

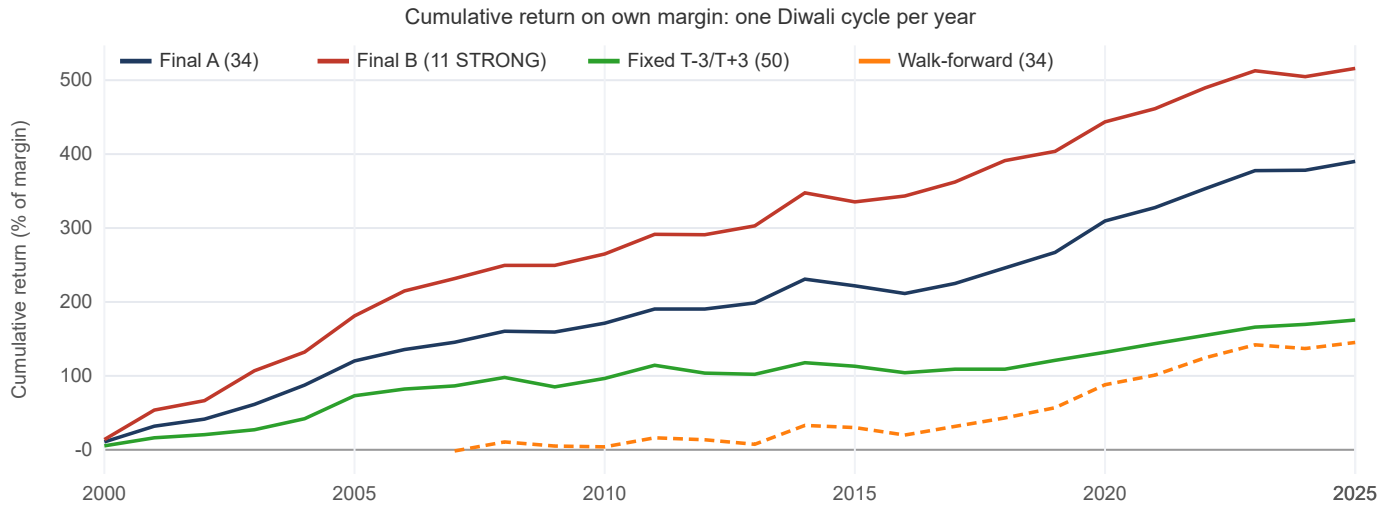
Symbol	Dir	Window	Entry	Entry ₹	Exit	Exit ₹	Return	Result	P&L / lot
BSE	LONG	T-8 to T+5	22-Oct	1363.4	08-Nov	1564.6	+14.76%	WIN	+₹101,183
BEL	LONG	T-5 to T+4	25-Oct	272.4	07-Nov	300.4	+10.28%	WIN	+₹55,730
JSWSTEEL	LONG	T-5 to T+5	25-Oct	943.8	08-Nov	996.4	+5.57%	WIN	+₹45,113
M&M	LONG	T-5 to T+6	25-Oct	2720.9	11-Nov	2930.6	+7.71%	WIN	+₹44,122
LT	LONG	T-7 to T+4	23-Oct	3455.4	07-Nov	3646.6	+5.53%	WIN	+₹35,161
ADANIENT	LONG	T-6 to T+5	24-Oct	2830.2	08-Nov	2929.1	+3.49%	WIN	+₹29,154
ICICIBANK	LONG	T-8 to T+3	22-Oct	1267.5	06-Nov	1302.3	+2.75%	WIN	+₹26,741
TECHM	LONG	T-2 to T+6	30-Oct	1684.9	11-Nov	1704.2	+2.05%	WIN	+₹20,275
SHRIRAMFIN	LONG	T-5 to T+2	25-Oct	618.5	05-Nov	632.5	+2.25%	WIN	+₹17,536
POWERGRID	LONG	T-2 to T+6	30-Oct	318.5	11-Nov	329.8	+3.56%	WIN	+₹16,919
APOLLOHOSP	LONG	T-8 to T+3	22-Oct	6892.0	06-Nov	6968.1	+1.10%	WIN	+₹10,896
EICHERMOT	LONG	T-6 to T+7	24-Oct	4668.5	12-Nov	4738.2	+1.49%	WIN	+₹10,787
HCLTECH	LONG	T-2 to T+6	30-Oct	1838.8	11-Nov	1867.3	+1.55%	WIN	+₹8,432
SBILIFE	LONG	T-5 to T+2	25-Oct	1616.8	05-Nov	1633.2	+1.02%	WIN	+₹6,341
INFY	LONG	T-4 to T+8	28-Oct	1865.3	13-Nov	1868.4	+1.30%	WIN	+₹5,790
COALINDIA	LONG	T-4 to T+1	28-Oct	441.6	04-Nov	443.3	+0.37%	WIN	+₹2,108
HDFCLIFE	LONG	T-5 to T+4	25-Oct	709.5	07-Nov	711.7	+0.32%	WIN	+₹1,921
TATACONSUM	LONG	T-5 to T+6	25-Oct	973.0	11-Nov	976.0	+0.30%	WIN	+₹1,619
CIPLA	LONG	T-1 to T+6	31-Oct	1551.8	11-Nov	1552.8	+0.07%	WIN	+₹378
AXISBANK	LONG	T-8 to T+2	22-Oct	1175.8	05-Nov	1171.7	−0.34%	LOSS	−₹2,773
RELIANCE	LONG	T-3 to T+3	29-Oct	1340.0	06-Nov	1325.3	−1.09%	LOSS	−₹6,642
MARUTI	LONG	T-5 to T+3	25-Oct	11502.8	06-Nov	11354.2	−1.29%	LOSS	−₹7,393
KOTAKBANK	LONG	T-3 to T+6	29-Oct	352.0	11-Nov	348.8	−0.92%	LOSS	−₹8,245
ITC	LONG	T-8 to T+8	22-Oct	463.9	13-Nov	454.7	−1.99%	LOSS	−₹9,071
NTPC	LONG	T-2 to T+6	30-Oct	408.5	11-Nov	392.5	−3.31%	LOSS	−₹15,636
SUNPHARMA	LONG	T-1 to T+6	31-Oct	1848.9	11-Nov	1794.6	−2.94%	LOSS	−₹18,132
BAJAJ-AUTO	LONG	T-8 to T+3	22-Oct	10368.3	06-Nov	10020.5	−3.35%	LOSS	−₹26,131
DRREDDY	LONG	T-4 to T+7	28-Oct	1311.5	12-Nov	1263.9	−3.63%	LOSS	−₹27,584
TITAN	LONG	T-8 to T+3	22-Oct	3329.8	06-Nov	3177.1	−4.59%	LOSS	−₹35,771
HINDALCO	LONG	T-4 to T+5	28-Oct	692.9	08-Nov	650.5	−6.13%	LOSS	−₹38,333
GRASIM	LONG	T-2 to T+7	30-Oct	2672.6	12-Nov	2521.2	−5.66%	LOSS	−₹40,675
BHARTIARTL	LONG	T-5 to T+2	25-Oct	1666.0	05-Nov	1578.4	−5.26%	LOSS	−₹46,305
TRENT	LONG	T-8 to T+2	22-Oct	7497.4	05-Nov	6968.4	−7.06%	LOSS	−₹46,828
INDIGO	LONG	T-7 to T+1	23-Oct	4520.0	04-Nov	3963.1	−12.32%	LOSS	−₹87,204

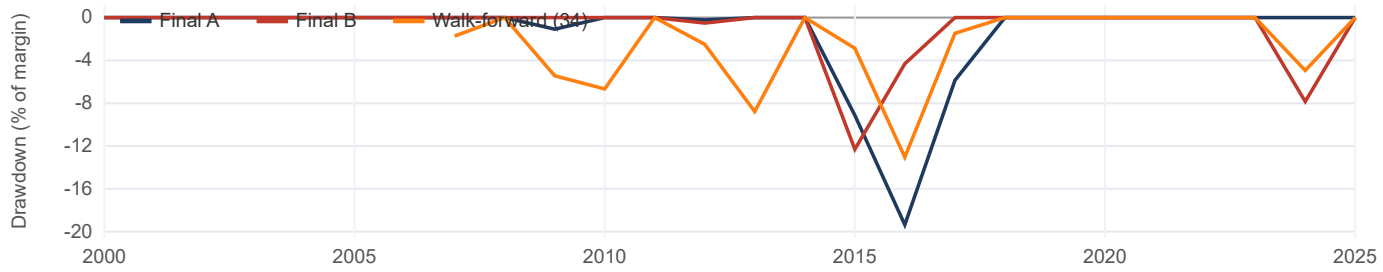
6.6 Performance

Metric	Final A (34)	Final A after 0.15% costs	Final B (11 STRONG)	Final B after costs
Capital (margin)	₹4,645,574	₹4,645,574	₹1,557,912	₹1,557,912
Cycles / trades	26 / 759	26 / 759	26 / 268	26 / 268
Net P&L	₹181.15 L	₹173.34 L	₹80.37 L	₹77.53 L
Avg annual return (simple)	15.0%	14.4%	19.8%	19.1%
CAGR	14.3%	13.7%	18.8%	18.1%
Max drawdown (% of capital)	−19.4%	−20.7%	−12.3%	−13.1%
Max drawdown (₹)	−₹899,441	−₹962,320	−₹191,703	−₹203,388
Calmar (CAGR ÷ DD %)	0.74	0.66	1.53	1.39
Sharpe / Sortino (per cycle)	1.20 / 5.56	1.15 / 4.94	1.26 / 6.93	1.21 / 6.22
Recovery factor (net ÷ max DD)	20.1	18.0	41.9	38.1
Longest drawdown (cycles)	3	3	2	2
Win trades	79.4%	77.2%	81.3%	79.1%
Positive cycles	85%	81%	88%	85%
Profit factor (trades)	4.14	3.92	5.70	5.39
Avg win / avg loss (return)	+5.62% / −5.18%		+6.15% / −4.70%	
Payoff (avg win ÷ avg loss)	1.07	1.16	1.31	1.42
Best / worst cycle	₹19.84 L (2020) / −₹4.75 L (2016)		₹7.63 L (2005) / −₹1.92 L (2015)	
Max losing cycles in a row	2		1	
Total cost paid	—	₹780,568	—	₹283,583

Calmar here = CAGR ÷ max drawdown %. One cycle per year, so Sharpe/Sortino are per-cycle ratios on very few observations. These are in-sample numbers; see 6.10 for out-of-sample.

6.7 Cumulative return and drawdown



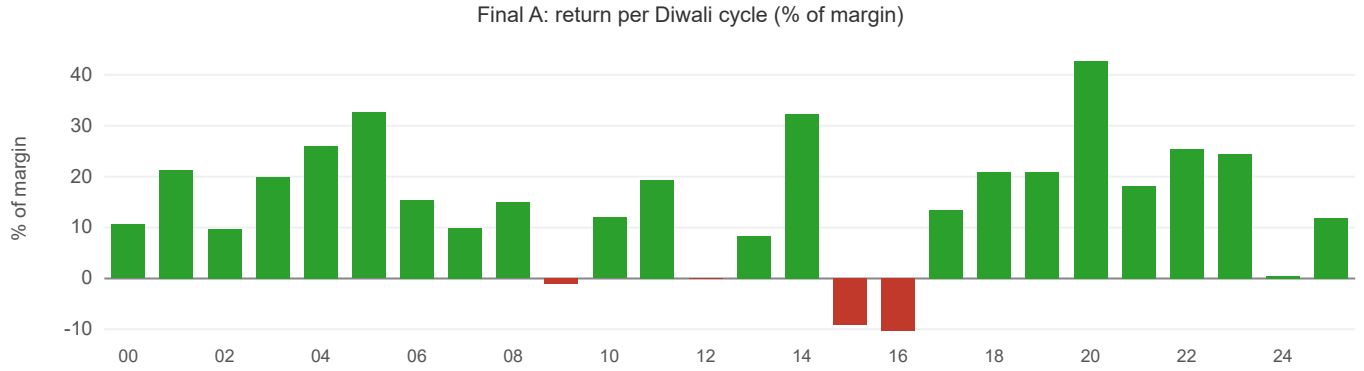


Each line is the cumulative P&L of that book as a % of its own margin. The walk-forward line starts in 2007 because it needs 7 prior years.

6.8 Year by year (Final A, 1 lot per stock)

Year	Laxmi Pujan	Trades	Wins	Win rate	Net P&L	Return on margin	Avg trade	Fixed-window basket	Index fut T-5/T+4
2000	26-Oct-2000	12	10	83%	+₹490,629	+10.56%	+6.15%	+3.15%	+8.07%
2001	14-Nov-2001	13	11	85%	+₹987,767	+21.26%	+11.21%	+5.89%	+7.00%
2002	04-Nov-2002	24	18	75%	+₹451,189	+9.71%	+2.90%	+1.51%	+3.00%
2003	25-Oct-2003	26	22	85%	+₹922,231	+19.85%	+5.66%	+1.70%	+1.17%
2004	12-Nov-2004	27	23	85%	+₹1,210,809	+26.06%	+5.98%	+3.46%	+0.78%
2005	01-Nov-2005	27	26	96%	+₹1,513,926	+32.59%	+8.21%	+7.65%	+3.16%
2006	21-Oct-2006	28	22	79%	+₹715,263	+15.40%	+3.17%	+1.59%	+2.63%
2007	09-Nov-2007	29	22	76%	+₹457,216	+9.84%	+2.40%	+1.24%	+1.17%
2008	28-Oct-2008	29	17	59%	+₹693,410	+14.93%	+3.55%	+2.36%	−2.47%
2009	17-Oct-2009	29	16	55%	−₹50,398	−1.08%	−0.12%	−3.04%	+0.12%
2010	05-Nov-2010	29	20	69%	+₹556,936	+11.99%	+2.43%	+2.72%	+3.13%
2011	26-Oct-2011	30	29	97%	+₹897,098	+19.31%	+4.19%	+4.19%	+2.54%
2012	13-Nov-2012	30	18	60%	−₹9,715	−0.21%	−0.09%	−2.48%	−3.17%
2013	03-Nov-2013	30	22	73%	+₹384,438	+8.28%	+1.38%	−0.24%	+0.57%
2014	23-Oct-2014	30	30	100%	+₹1,498,533	+32.26%	+6.86%	+3.38%	+4.99%
2015	11-Nov-2015	30	16	53%	−₹424,092	−9.13%	−1.90%	−1.04%	−4.19%
2016	30-Oct-2016	31	16	52%	−₹475,349	−10.23%	−2.20%	−1.86%	−2.78%
2017	19-Oct-2017	33	26	79%	+₹627,717	+13.51%	+2.52%	+0.90%	+2.31%
2018	07-Nov-2018	34	29	85%	+₹972,418	+20.93%	+3.73%	−0.08%	+1.99%
2019	27-Oct-2019	34	29	85%	+₹974,544	+20.98%	+4.09%	+2.61%	+2.82%
2020	14-Nov-2020	34	33	97%	+₹1,983,853	+42.70%	+8.41%	+2.34%	+4.97%
2021	04-Nov-2021	34	32	94%	+₹840,074	+18.08%	+3.72%	+2.18%	+0.08%
2022	24-Oct-2022	34	33	97%	+₹1,182,618	+25.46%	+5.01%	+2.24%	+4.34%
2023	12-Nov-2023	34	33	97%	+₹1,134,202	+24.41%	+4.83%	+2.36%	+2.61%
2024	01-Nov-2024	34	19	56%	+₹23,483	+0.51%	+0.16%	+0.84%	+0.45%
2025	21-Oct-2025	34	31	91%	+₹555,812	+11.96%	+2.44%	+1.30%	+2.84%

P&L = return × today's contract value for one lot per stock (not the prices actually traded that year); early years have fewer than 34 trades where a stock was not yet listed.



6.9 Drawdowns at cycle level, Final A (3 occurred)

#	Peak	Trough	Recovered	Depth (₹)	% of capital	Fall (cycles)	Total length (cycles)
1	2014	2016	2018	−₹899,441	−19.4%	2	4
2	2008	2009	2010	−₹50,398	−1.1%	1	2
3	2011	2012	2013	−₹9,715	−0.2%	1	2

6.10 Out-of-sample checks

Period	Role	Win rate	Avg trade	Annual return on margin	Max drawdown	Calmar	Cycles
Same 34 windows, 2000–2018	Used to choose (in-sample)	75.4%	+3.08%	12.9%	−19.4%	0.64	19
Same 34 windows, 2019–2025	In-sample (windows chosen on all years)	88.2%	+4.10%	20.6%	0.0%	—	7
Windows re-chosen on 2000–2018, scored 2019–2025 (34)	Out-of-sample	76.2%	+3.24%	14.5%	−6.6%	2.12	7
Same, all 50 stocks	Out-of-sample, no stock filter	68.7%	+2.81%	12.5%	−7.8%	1.53	7
Walk-forward every year 2007–2025 (34)	Out-of-sample	61.8%	+1.81%	7.6%	−13.0%	0.54	19
Nifty futures index, 2000–2025	Other instrument, T-5 to T+4	84.6%	+1.85%	—	—	—	26

Reading: the honest out-of-sample expectation is the range between the walk-forward row (7.6% a year) and the 2019–25 split (14.5% a year), with drawdowns of roughly −7% to −13%, not the in-sample 15.0% / −19.4%.

7. Final Strategy B: the 11 STRONG names

Same rules as Final A, restricted to the 11 STRONG stocks: BHARTIARTL, DRREDDY, EICHERMOT, HINDALCO, ITC, KOTAKBANK, LT, MARUTI, NTPC, TECHM, TITAN. Margin ₹15.58 L.

Metric	A (34)	B (11)	A after costs	B after costs
Capital (margin)	₹4,645,574	₹1,557,912	₹4,645,574	₹1,557,912
Trades	759	268	759	268
Net P&L	₹181.15 L	₹80.37 L	₹173.34 L	₹77.53 L
Avg annual return (simple)	15.0%	19.8%	14.4%	19.1%
Max drawdown (% of capital)	−19.4%	−12.3%	−20.7%	−13.1%
Calmar	0.74	1.53	0.66	1.39
Win trades	79.4%	81.3%	77.2%	79.1%
Positive cycles	85%	88%	81%	85%
Profit factor	4.14	5.70	3.92	5.39
Worst cycle	−₹4.75 L	−₹1.92 L	−₹5.07 L	−₹2.03 L

7.1 Which one

Priority	Choose	Why
Broadest, steadiest, matches the position list	A	34 names spread stock-specific noise; out-of-sample 14.5% / −6.6% on the 2019–25 split
Less capital, higher in-sample return	B	19.8% in-sample on ₹15.58 L; but STRONG already embeds a walk-forward filter, so part of this is selection
Compare with a single common window	A or B	Fixed T-3/T+3 on all 50 gave 6.8% a year with −13.3% drawdown

7.2 The three low-history stocks (experimental, not in A or B)

Stock	Side	Window	Entry	Exit	Years of data	Win rate	Avg
MAXHEALTH	LONG	T-8 to T+5	28-Oct-2026	16-Nov-2026	6	100%	+8.48%
ETERNAL	LONG	T-1 to T+4	06-Nov-2026	13-Nov-2026	5	80%	+3.43%
JIOFIN	SHORT	T-1 to T+8	06-Nov-2026	19-Nov-2026	3	100%	+2.89%

MAXHEALTH, ETERNAL and JIOFIN have 3–6 Diwali years; a 100% win rate on 3–6 points is expected by chance among 100 windows. Treat as indicative; JIOFIN (the only SHORT) is the weakest.

8. Assumptions and limitations

- **Few independent observations:** 26 Diwali events. The 759 trades of Final A all share each year's market backdrop; effective sample size is nearer 26 than 759.
- **Chosen by search:** 128 combinations per stock, picked on the same years they are scored on. Even with walk-forward and a conviction gate, a searched rule usually does worse live than in the backtest — the out-of-sample rows are the better guide.
- **Look-ahead in the stock list:** which 34 stocks are in the book was decided using full-history evidence; the ‘all 50’ out-of-sample rows have no such filter.
- **Daily closes only:** entries and exits are at closes, not 09:20 / 15:15 intraday fills; real slippage, especially on stocks that move into the close, is not modelled.
- **P&L scale:** ₹ P&L uses today’s lot sizes and prices for every year, so it is a consistent weight, not what a trader would have earned at that year's prices. This is different from the earlier Diwali_Holiday_Performance_Report, which used raw prices of 2022–2025; its ₹ figures will not match.
- **Costs and margin:** 0.15% round trip and 20% margin are assumptions; actual SPAN + exposure and brokerage vary.
- **Universe bias:** only stocks that are in the Nifty 50 / F&O list today; stocks that dropped out earlier are not tested.
- **Calendar:** the Laxmi Pujan dates 2000–2025 were hand-corrected and verified against price data; the 2026 holiday list assumes 10-Nov is closed. Re-check before trading.
- **Grid change:** this report uses the project's 8×8 grid. The earlier Diwali_Final_Strategy_Report and Diwali_Holiday_Performance_Report used a 10×10 scan and are superseded.
- **Gap risk:** a long future can lose more than any stop; there is no stop in the backtest.

9. Files

What	Where (D:\behaviour analysis\)
Position list (book + status of all 50)	Diwali_2026_Nifty50_Position_List_8x8.json
3 low-history stocks	Diwali_2026_3_LowHistory_Stocks_Positions_8x8.json
Master file (positions + past data)	Diwali_Master_8x8.json
Backtest data (Nifty, 26 events)	Diwali_Past_Events_Backtest_Data_8x8.json
All F&O stocks data	Diwali_FO_All_Stocks_Data_8x8.json
Positions workbook (Nifty + F&O)	Diwali_Positions_8x8_Nifty_FO.xlsx
Per-stock scan workbooks	Nifty50_Diwali_Christmas_Report_v4.xlsx, FO_NonNifty50_Diwali_Christmas_Report_v4.xlsx
Code	build_diwali_christmas_perstock_reports_v4.py (scan), diwali_report_data.py (data layer), build_diwali_strategy_report_8x8.py (this report), build_diwali_8x8_lists.py